

apply to the investment problems of a household. Rather, it was for large institutions with indefinite lifespans and no specific spending objectives for the portfolio. This should have been a eureka moment for the entire retirement income industry, but MPT is still misapplied today.

People have finite lifespans. The purpose of saving and investing is to fund spending during retirement. MPT does not address this more complicated issue. The alternative is asset-liability matching, which focuses more holistically at the household level and also emphasizes hedging and insurance. In simple terms, hedging means holding individual bonds to maturity, and insurance means using income annuities as a solution for longevity and market risk.

With asset-liability matching, investors are not trying to maximize their year-to-year returns on a risk-adjusted basis, nor are they trying to beat an investing benchmark. The goal is to have cash flows available to meet spending needs as required, and investments are chosen in a way that meets those needs. Assets are matched to goals so that the risk and cash-flow characteristics are comparable. For essential spending, Modern Retirement Theory argues that funding must be with assets meeting the criteria of being “secure, stable, and sustainable.” Funding options can include defined-benefit pensions, bond ladders, and income annuities. In this regard, another important aspect of the investment approach for the safety-first school is that investing decisions are made in the context of the entire retirement balance sheet. This moves beyond looking only at the financial portfolio to consider also the role of human and social capital. Examples of human and social capital include the ability to work part-time, pensions, the social safety net, and so on.

An important point is that volatile assets are seen as inappropriate for basic needs and the contingency fund. Stated again, the objective of investing in retirement is not to maximize risk-adjusted returns, but first to ensure that basics will be covered in any market environment and then to invest for additional upside. Volatile (and hopefully, but not necessarily, higher returning) assets are suitable for discretionary expenses and legacy, in which there is some flexibility about whether the spending can be achieved.